



CIMA Management Case Study

Mock Exam 4

Flatthall

Suggested Solutions

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Task 1 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: New FlattKey app

Hi Susanna,

The issue

Please see the following report in which I have analysed the potential impact of the FlattKey app on our stakeholders, discussed how we should effectively communicate with them if the proposal goes ahead and discussed how the project to develop and implement the app should be organised and managed.

Sub-task (a) - 60%: Stakeholder management

1ai - Impact on stakeholders

Stakeholders are any parties that have some kind of interest in the business and can either affect or be affected by the activities that it undertakes. The following are key stakeholders that may be impacted if the proposal to develop and implement the FlattKey app goes ahead.

Students

As the primary users of the FlattKey app, students are likely to be most affected by its introduction. The app aims to improve students' living experience by providing an easy way to access their accommodations and a simple method to report maintenance issues. These changes could make life more convenient and secure and make daily routines smoother for students.

However, there are potential downsides. There may be concerns about data privacy and the reliability of digital keys, especially if a student's smartphone is lost, damaged or out of battery or the app stops working, which could prevent access to their rooms. Additionally, making the concierge team redundant could impact students negatively. Concierges provide valuable support and security, often helping with everyday problems and offering a personal touch that makes students feel at home. Without them, students might miss out on this level of personal service, which could make Flatthall feel less welcoming and safe.

The response from students to the introduction of the FlattKey app and the proposed changes to the concierge roles could be pivotal in shaping Flatthall's future operations. If students embrace the FlattKey app and appreciate its convenience and efficiency, this positive feedback could enhance our reputation as an innovative and student-friendly accommodation provider.

Conversely, if students encounter issues with the app, such as reliability problems or security concerns, or if they feel the absence of concierges diminishes their sense of safety and support, their dissatisfaction could quickly spread through student networks and social media.

Parents and guardians

After considering the direct impact on students, it's important to address how the FlattKey app might affect parents and guardians. Whether they are financially supporting their children or simply concerned about their welfare, parents and guardians will have a vested interest in the security and reliability of the FlattKey app.

Many parents and guardians will play a significant role in helping to choose their children's accommodation for the year, particularly for students who are leaving home for the first time. They will seek assurances that their children's living environments are secure and that any issues can be reported and resolved quickly.

Additionally, the proposal to make concierge positions redundant could raise concerns among parents and guardians about the level of personal support and security available to their children. The presence of concierges often adds an extra layer of safety and immediate assistance, which can be particularly reassuring for both students and their families.

If parents perceive these changes as detrimental to their children's safety and support, it could lead to a decrease in trust and satisfaction with Flatthall's services. This perception could affect their decisions on whether to recommend or choose Flatthall for their children's accommodation.

Concierges

Next, let's consider the concierge staff affected by the FlattKey proposal. As alluded to above, the introduction of the FlattKey app is likely to make traditional concierge roles redundant. This change could result in job losses if Flatthall does not find new roles for these staff members within the organisation. For those concierges who cannot move to other jobs, losing their employment could cause significant personal and financial

difficulties. If not well-managed, such outcomes might lead to negative feelings towards Flatthall, potentially harming staff morale and the company's reputation as an employer.

Repair and maintenance contractors

At present, concierges often serve as the initial point of contact for students reporting issues, and they coordinate with contractors to schedule and manage repairs. However, the introduction of the FlattKey app would automate and streamline the reporting and scheduling of maintenance work. Instead of students reporting issues to a concierge who then contacts contractors, the app would allow students to report maintenance issues directly through the platform. Contractors are likely to receive these work orders electronically, which could help in organising and prioritising tasks more efficiently.

However, adopting this new technology might require some adjustments from the contractors as they learn to navigate the app and integrate it into their daily operations. Allowing students to choose their preferred times for maintenance also introduces a new layer of complexity for contractors. They will need to manage a more detailed scheduling system, coordinating work based not only on location but also on specific time slots selected by students.

The need to adhere to specific appointment times could complicate how contractors manage multiple maintenance requests in the same building or area. Previously, contractors might have addressed several issues in one visit, but varied schedules could spread these tasks across different times or even days. During peak times, there may be an overflow of maintenance requests, requiring contractors to allocate extra resources, such as additional staff and equipment, to handle the surge.

IT staff and external tech companies

The development and ongoing management of the FlattKey app will likely increase the workload for Flatthall's IT department as they work to develop the app and ensure its ongoing functionality and security. As the app's use grows, we may find it necessary to recruit new staff specifically to maintain the app's reliability and security, ensuring it operates smoothly for users.

We may also wish to contract external technology companies to help us with the development and implementation of the app. There are a number of existing companies that offer digital key card solutions for accommodation, such as the Livvi app by Vingcard or TLJ Mobile Keys by TLJ. Flatthall may be able to partner with one of these companies to develop a bespoke solution for its buildings.

Academic institutions

Academic institutions might see indirect benefits from the FlattKey app if it improves student satisfaction with their living situations. Well-managed, technology-driven accommodation could make an institution more appealing to prospective students, who often value efficient and modern living conditions.

1aii - Effective communication with stakeholders

Importance of good communication with stakeholders

Good communication with stakeholders is essential for any organisation as it builds trust and promotes transparency. Keeping stakeholders informed about activities, decisions, and challenges helps gain their trust and support, protecting the organisation's reputation by preventing misunderstandings. Additionally, effective communication encourages stakeholders to actively engage with the company, offering resources, support and feedback. This engagement enhances decision-making and bolsters support for the organisation's initiatives, contributing to its overall success.

For Flatthall, good communication with stakeholders regarding its FlattKey app proposal is essential to ensure its successful implementation. By keeping students, parents, staff, and academic institutions well-informed about the app's features, benefits and any changes to roles, Flatthall can build trust and gain the support needed to drive the project forward. Transparent communication will help manage expectations and facilitate smoother transitions, especially concerning the roles becoming redundant and the adoption of new technologies.

Furthermore, by engaging these stakeholders through clear and consistent updates, Flatthall can gather valuable feedback that may highlight potential improvements or address any concerns. This ensures the app not only meets but exceeds user needs and strengthens Flatthall's position as a leading provider of student accommodations.

Considerations for students and parents

When communicating with students and parents about the FlattKey app, we should carefully consider both the medium and the message to ensure the information is well-received. For students, using digital platforms, such as emails and social media, can be effective, as these are mediums they engage with regularly. The messages should be concise, using clear and relatable language that resonates with a younger audience.

For parents, communication might be more effective through detailed emails, newsletters, or even webinars that explain the app's security features and how they

enhance their child's safety and convenience. The messaging for parents should emphasise reliability, safety, and the benefits of easy maintenance reporting, addressing any concerns about digital security and privacy. For both groups, it's crucial to keep the tone informative and reassuring and provide ample opportunity for feedback to make them feel involved and respected in the process.

Additionally, incorporating information specifically for prospective students in marketing materials and on the Flatthall website can be beneficial. Highlighting the FlattKey app as a feature of living in Flatthall properties showcases the modern amenities and tech-savvy environment that the organisation offers. This not only informs but also attracts students looking for convenient and secure accommodation options, further boosting Flatthall's appeal to new students.

Considerations for concierges

Communicating with concierges about the FlattKey app requires sensitivity and clarity, especially since the introduction of the app could impact their job roles. It's crucial that we deliver these communications through direct and personal methods, such as face-to-face meetings, to ensure that concierges feel valued and respected during this transitional phase. The messaging should be straightforward and empathetic, explaining how the FlattKey app will change their daily responsibilities and what these changes mean for their future within the company.

Flatthall should provide clear information about any opportunities for retraining or redeployment within the organisation and outline any support systems in place to assist with these transitions. Ensuring that concierges have ample opportunity to ask questions and express concerns is also vital. This will help to minimise uncertainty and anxiety among the concierge staff, making the transition smoother for everyone involved. This will also help to minimise any negative feelings towards Flatthall that could harm staff morale and the company's reputation as an employer.

Considerations for repair and maintenance contractors

Since the app will change how the repair and maintenance contractors receive and manage work orders, we must use clear and direct communication channels. Emails or dedicated training sessions could be effective for introducing the new system, explaining how it works, and detailing the benefits and changes it brings to their daily operations. It's also important to address any potential concerns contractors might have about the transition, such as adjustments to their workflow.

Flatthall should offer support for learning the new system, perhaps through training workshops or a dedicated helpline, to ensure a smooth transition. Providing contractors

with clear communication and ongoing support will help maintain strong partnerships and improve the quality of service they deliver under the new system.

Considerations for the IT department

Communicating with the IT department about the FlattKey app is essential, given their central role in its implementation and maintenance. Flatthall should engage the IT team early in the process, as it's crucial that the IT department has a clear understanding of the app's architecture, security features, and integration needs with existing systems. The messaging to the IT team should emphasise the strategic importance of the app and how it aligns with the company's broader goals.

It will be important to address potential concerns about the increased workload due to the FlattKey app. Flatthall should reassure the IT department that adequate resources and support will be available to manage this workload effectively. Encouraging feedback and suggestions from the IT team helps refine the implementation strategy and fosters a sense of ownership and engagement among the team members.

Providing clear documentation and resources, as well as ensuring that the IT department has direct access to external tech support and developers, will facilitate effective problem-solving and innovation. Regular meetings and an open line of communication will help track progress, address any emerging challenges promptly and keep the project aligned with organisational goals.

Sub-task (b) - 40%: Project management

1bi - Organising and managing the project

Scope, objectives, budget and timescale

Before starting the development and implementation of the FlattKey app, it's essential to clearly define the project's objectives, scope, budget and timescale. The project objectives should support Flatthall's strategic goals of providing safe and attractive student accommodation. The project scope should specify everything that will be delivered, including the app's software features, the integration of digital locks, and any necessary updates to existing infrastructure.

It's crucial to set a realistic budget right from the start. This budget will guide the financial management of the project, ensuring that funds are properly allocated for all aspects, including development, implementation and training. Equally important is establishing a feasible timescale. This should outline key milestones and deadlines, taking

into account the availability of resources, the complexity of tasks and external factors like the academic calendar.

The installation of digital locks and other building modifications need to be synchronised with the app's development milestones to make sure all hardware is ready for testing and launch. Implementing the app during the summer holidays would minimise disruption to students and provide adequate time for making any necessary adjustments. A phased rollout, starting with a pilot in a select few properties, could also help identify potential issues before a full rollout.

Developing the app in-house or contracting a third party

A key decision will be whether to develop the app internally or involve an external party. Given the specialised nature of the FlattKey app, which requires integration with existing property management systems and high-security standards, contracting a third-party developer with expertise in similar applications may be recommended. As mentioned earlier, several existing companies offer digital key card solutions for accommodation, such as the Livvi app by Vingcard or TLJ Mobile Keys by TLJ. We could work with a similar company to develop a bespoke app that meets our needs.

Project manager and project team

Next, it's important to decide who will be responsible for leading the project, and a project team will need to be established. If there is a suitable internal candidate, preferably from the IT department, who possesses the necessary skills and experience, this could be a good choice for filling the role, as they will have existing knowledge of the company's operations. If such expertise is not available internally, it may be necessary to hire an external contractor. This would allow us to tap into specialised skills and experience that can bring fresh perspectives and innovative solutions to the project.

The project team will need to include roles from various departments, including IT specialists, operations managers and members of the marketing team to handle communications. The inclusion of roles from various departments will ensure that all operational perspectives are considered in the app development and implementation process.

Risk management

Risk management will be crucial in the FlattKey app project to ensure its success and minimise potential setbacks. By identifying, analysing and preparing for risks beforehand, we can proactively address issues that might arise during the development and implementation phases. This involves everything from technical challenges, such as

integration with existing systems, to operational risks, like delays in hardware installation or resistance from students or contractors. Effective risk management will help maintain the project timeline, keep costs within budget and ensure that the app meets all security and functionality standards.

Use of project management techniques and tools

Finally, employing a variety of project management tools and techniques will be essential for effectively managing the development and implementation of the FlattKey app. Techniques such as work breakdown structure will help clearly define and organise the tasks and responsibilities involved in the project. Gantt charts and network analysis can be utilised to plan and visualise the project timeline, ensuring all activities are completed on schedule. Cost breakdown structures will assist in monitoring and controlling financial aspects, maintaining the project within budget.

Additionally, using project management software will integrate these tools, providing a cohesive platform for tracking progress, managing resources and facilitating communication among team members.

I hope this covers what you need. Let me know if you have any questions.

Regards,

Financial Manager

Task 2 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: App security and utilising collected data

Hi Susanna,

The issue

Please see the following report in which I have suggested measures to ensure the ongoing reliability and security of the FlattKey app and its associated data. I have also advised on how data collected by the app could be leveraged to inform budgeting and investment decisions.

Sub-task (a) - 50%: Risk management

2ai - Risk management

The FlattKey app plays a crucial role in enhancing the living experience of students within Flatthall properties by providing digital key access and streamlined maintenance reporting. However, ensuring the ongoing reliability and security of the app and its associated data is paramount to maintaining trust with users and safeguarding sensitive information.

Importance of reliability and security

Maintaining reliability and security is crucial for building and retaining trust among FlattKey app users. Students rely on the app not just for convenient access to their accommodations but also for prompt reporting of any maintenance issues. Any disruptions or security breaches could erode confidence in both the app and Flatthall's services, potentially leading to dissatisfaction among users.

Additionally, since the app collects sensitive user data, including personal information and access logs, ensuring the security of this data is paramount. It's not just about following privacy regulations; it's about our duty of care to safeguard users' privacy and prevent any unauthorised access or misuse of their information.

Measures for ensuring reliability and security include the following.

Regular maintenance and updates

Implementing a regular schedule for maintenance and updates to the FlattKey app infrastructure and software is crucial for ensuring its ongoing reliability and security. This involves not only fixing system bugs and patching security vulnerabilities but also enhancing features to continually improve the app's performance and user experience. Such proactive maintenance measures help to prevent potential issues and ensure that the app remains robust and secure over time.

Managing this process will likely require the involvement of Flatthall's IT department, which may need to allocate dedicated resources or even establish a specialised team to oversee the ongoing maintenance of the app. This team would be responsible for monitoring the app's performance, identifying and addressing any technical issues or security vulnerabilities, and promptly implementing necessary updates and enhancements. Additionally, they would need to stay abreast of evolving technology trends and security threats to proactively mitigate risks and ensure the app's resilience against emerging threats.

Encryption and secure access

Methods or systems should be put in place to ensure that only the right people can access the app and its data. One example is two-factor authentication, which adds an extra step to the login process. After entering a password, the user would also need to provide a second piece of information, such as a code sent to their phone, to prove their identity. This extra layer of security helps prevent unauthorised access by making it harder for someone other than the user to log in, even if they have the correct password.

Encryption is another important security measure that converts data into a code that only authorised users have the key to decipher. In the context of the FlattKey app, encryption should be employed to protect sensitive user information, such as personal details and access logs, while it's transmitted over networks or stored in databases.

Education and training for app users

Flatthall should offer thorough training and support materials to users of the FlattKey app, such as students and staff. This training is essential for increasing awareness about potential security threats and teaching users how to minimise risks. Training could include guidance on creating strong passwords, keeping passwords safe, recognising phishing attempts and understanding the importance of keeping software up to date.

Data backup

Data backup involves regularly copying and storing data in a secure location to protect against data loss due to hardware failure, cyber-attacks or other disasters. As highlighted by the attachment to your email, the FlattKey app collects a large amount of data that is important for ensuring the smooth operation of our student accommodation services. This includes user profiles, access logs, maintenance records and other critical information. Implementing robust backup procedures for this data is essential to mitigate the risk of data loss and ensure the continuity of app services.

Reviewing controls

Regularly reviewing controls within the context of the FlattKey app involves conducting periodic evaluations of the security measures and protocols in place to safeguard the app and its data. This process allows Flatthall to assess the effectiveness of existing security measures and identify any potential weaknesses or vulnerabilities that could pose a threat to the app's security and reliability. For example, regular reviews of access controls and user permissions help ensure that only authorised individuals have access to sensitive app data, reducing the risk of unauthorised access or data breaches.

Compliance with regulation

Staying informed about relevant data protection regulations, such as GDPR, is crucial for Flatthall to ensure compliance with applicable laws and standards regarding data privacy and security. Compliance with these regulations involves obtaining necessary permissions from users for data collection and processing as well as implementing privacy-preserving measures to protect user information from unauthorised access or misuse.

Sub-task (b) - 50%: Leveraging data

The FlattKey app collects a wide range of data that can provide valuable insights into student behaviour and app functionality. This data can be strategically used to make informed decisions regarding budgeting and investment, enhancing operational efficiency and improving student accommodation services.

2bi - Leveraging data for budgeting

Optimising resource allocation

The FlattKey app collects detailed data on various maintenance issues reported by students, such as plumbing or electrical problems. By analysing this data, we can identify

the most frequent problems and pinpoint their specific locations. For instance, if there is a noticeable trend of plumbing issues predominantly in older buildings, this highlights that these buildings may require more focused attention and resources.

Using this insight allows for more strategic budgeting and resource allocation. Rather than distributing resources uniformly across all properties, we can prioritise areas with the most pressing needs, such as allocating more funds to address recurring plumbing issues in older structures. This targeted approach not only improves efficiency but also enhances cost-effectiveness by addressing the most critical issues first. Implementing preventive maintenance strategies based on this data can prevent issues from escalating, thus avoiding more severe and costly repairs in the future.

Accurate forecasting and negotiating lower costs

This data also allows for more accurate forecasting of future maintenance needs and costs. By understanding the commonality and recurrence of specific issues, we can budget more precisely for these problems. This approach will not only lead to more accurate forecasting of costs but could also help us negotiate better terms with maintenance contractors, purchasing materials in bulk at reduced costs or planning for capital improvements that address the root causes of recurring issues.

Implementing flexible budgeting

The data collected from the FlattKey app could be useful for implementing flexible budgeting within Flatthall's operations. Flexible budgeting adapts spending based on the actual level of activity or demand rather than sticking strictly to a static budget set at the beginning of the year. By analysing maintenance data, such as the frequency and types of issues reported and their locations, we can adjust the maintenance budget throughout the year based on real needs.

For example, suppose the data shows increased electrical issues in certain buildings during the winter. In that case, the budget can be adjusted to allocate more funds at that time of the year to address any issues promptly.

Overcoming behavioural aspects of budgetary control

Finally, the data collected from the FlattKey app can also help overcome behavioural aspects of budgetary control by providing objective insights into maintenance needs and resource usage. By relying on data rather than subjective assessments, we can reduce the influence of human biases that may lead to budget padding or irrational spending decisions. For example, if there is a tendency to overestimate maintenance needs in

certain areas based on anecdotal evidence, the data can provide a more accurate picture of actual requirements, helping to align spending with genuine needs

2bii - Leveraging data for investment decisions

Investment in infrastructure upgrades

The combination of user data, including room numbers and building locations, along with feedback on accommodation facilities, guides investment decisions for infrastructure upgrades at Flatthall. This data provides valuable insights into areas needing attention or improvement within the property portfolio. For instance, buildings receiving frequent complaints or negative feedback can be prioritised for renovations or enhancements.

This data-driven approach could help us to allocate resources strategically, focusing investments where they're most needed to enhance the overall student living experience. For example, if feedback indicates issues with outdated facilities or insufficient amenities in a certain building, we can allocate funds to upgrade those facilities or implement technological solutions.

By prioritising investments based on real-time feedback, we can ensure resources are directed towards initiatives with the greatest potential to improve student satisfaction and retention, contributing to our long-term success in the student accommodation market.

Investment in the FlattKey app

The data collected on the type of device, operating system and app version used by students provides valuable insights for making decisions about software updates and app feature enhancements. By analysing this data, we can identify trends in device preferences and software usage among students, allowing us to prioritise software updates and develop new features that are compatible with the most commonly used devices and operating systems.

For example, if the data shows that the majority of students are using a specific type of smartphone or operating system version, we can focus our efforts on ensuring that the FlattKey app is optimised for compatibility with these devices.

Additionally, data on app usage frequency, accessed features and navigation paths could provide further valuable insights. Understanding user engagement patterns within the app could allow us to tailor the app experience to better meet user needs and preferences. For instance, we may prioritise improvements to frequently accessed features and streamline navigation paths within the app to improve the user experience.

Demand for further technology

High engagement with the app (in general or in particular regions or properties) could suggest that students like having technology in their living spaces and, therefore, might be interested in having more high-tech features in their accommodation to make their lives easier and more convenient. This could include new smart technologies, such as smart thermostats or lights that they can control with their phones, which are becoming increasingly popular in student accommodation.

If the students use the app frequently, this also suggests they are comfortable with digital platforms and communication, and they might be interested in other features being added to the app, such as social networking tools. These could include online platforms that let them chat, organise events, share information about reported issues, and build a community with their neighbours.

I hope I have addressed all of your requests. Let me know if you have any questions.

Regards,

Financial Manager

Task 3 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Proposal to introduce a user-pay model for utilities

Hi Susanna,

The issue

Please see the following report in which I have identified the key risks and uncertainties associated with introducing a user-pay model for utilities and suggested ways to mitigate these risks. I have also discussed the benefits and drawbacks of involving representatives from each of the departments in the initial planning of the project, as well as the importance of considering non-financial factors in assessing the success of this initiative.

Sub-task (a) - 50%: Risk and uncertainty

3ai - Risks and uncertainties

Technology reliability

The ongoing reliability and effectiveness of the technology being installed in Flatthall properties are crucial for the success of this proposal. These technologies, including smart utility meters, shower heads, and laundry facilities, rely on complex underlying systems and software to accurately monitor and track resource usage in real-time. Any malfunctions, technical glitches or system failures in these technologies pose a significant risk to the initiative's success.

Firstly, if the smart utility meters fail to accurately collect data on energy and water usage, it could lead to billing errors and discrepancies in the monthly utility bills issued to students. Inaccurate billing may result in financial disputes between Flatthall and its residents, leading to dissatisfaction among students and potential damage to Flatthall's reputation.

Moreover, technical glitches or system failures could disrupt the functionality of smart shower heads and laundry facilities, affecting students' access to essential amenities. For example, malfunctioning smart laundry facilities may lead to delays in laundry services or operational issues, impacting students' daily routines and satisfaction with their living environment.

Privacy concerns

The integration of smart technology into student accommodations presents significant privacy concerns related to the collection and usage of personal utility usage data and storage of payment information within the app, such as credit card details. Students may be apprehensive about sharing such sensitive data, especially if they perceive a risk of unauthorised access or misuse. Any unauthorised access to data could result in privacy breaches or financial losses for students.

Failure to address these privacy concerns adequately poses a risk of a backlash from students, potentially resulting in decreased trust in Flatthall and its services. Moreover, any perceived mishandling or misuse of personal data could lead to reputational damage and legal consequences for Flatthall, particularly in light of stringent data protection regulations such as GDPR.

Initial investment costs

The initial investment costs associated with upgrading existing infrastructure to accommodate smart utility tracking systems pose a notable risk to Flatthall. These costs encompass various expenses, including equipment procurement, installation and integration with existing systems. If there is uncertainty surrounding the exact costs of the components and installation, this will add to the risk, as unforeseen expenses may arise during the procurement implementation process.

Additionally, the return on investment may not be immediately apparent, as it may take some time before the cost savings or other advantages resulting from implementing these systems become evident. This potential delay in realising a return on investment will require careful financial planning and risk assessment to ensure it does not impact our cash flow and financial performance.

Student acceptance and engagement

The success of the user-pay model relies heavily on student acceptance and active engagement with the new system. Students might view paying a flat rate for utilities included in their rent as more convenient and hassle-free compared with managing individual payments for showers, laundry and energy usage throughout the year. Students with limited financial resources could also struggle with making payments if their usage is higher than expected, and the need to budget or change their behaviours, such as how long they spend in the shower, could lead to anxiety or students not looking after themselves properly, such as skipping showers or not putting on the heating to save money.

If students perceive the user-pay model as less convenient or burdensome, this could lead to dissatisfaction among students. Moreover, prospective students may choose to live elsewhere if Flatthall's reputation as comfortable and convenient accommodation is damaged, leading to decreased occupancy rates at Flatthall properties.

Operational challenges

Operational challenges associated with managing and maintaining the smart utility tracking systems pose a significant risk to the success of the initiative at Flatthall. These challenges stem from the complexity of integrating and operating the new technology within the existing infrastructure.

Firstly, the implementation and ongoing management of smart utility tracking systems require specialised technical expertise, which may not be readily available within Flatthall's existing workforce. This could lead to delays in system deployment and difficulties in resolving technical issues as they arise.

Secondly, providing adequate support to students regarding the use of the new systems is crucial for ensuring their effective adoption. However, this entails additional resources for training staff to assist students with any queries or issues related to the smart utility tracking systems. Operational challenges such as system downtime, software glitches or connectivity issues could disrupt the seamless functioning of the smart utility tracking systems, impacting the reliability of utility services and student satisfaction.

3a ii - Risk management

To mitigate the risks discussed above, there are a few proactive steps we can take.

Technology reliability

Firstly, to mitigate the risks associated with technology reliability, thorough testing of the smart utility tracking systems should be conducted before full-scale implementation to identify and address any potential technical issues or malfunctions. This testing phase should involve simulated real-world scenarios to ensure the reliability and effectiveness of the technology under various conditions.

Additionally, Flatthall should establish robust maintenance and support procedures to promptly address any technical glitches or system failures that may occur post-implementation. This includes having a dedicated technical support team available to respond to student inquiries and resolve issues in a timely manner.

Privacy concerns

Addressing privacy concerns requires a comprehensive approach to data security and compliance. Flatthall should implement stringent data protection measures to safeguard the privacy and security of student data collected through the smart utility tracking systems and the FlattKey app.

This could include encryption of sensitive information, secure storage protocols and regular security audits to detect and mitigate any potential vulnerabilities. Transparency and clear communication with students about how their data will be used and protected are also essential to build trust and alleviate privacy concerns.

Initial investment costs

To mitigate the risks associated with initial investment costs, Flatthall should conduct a thorough cost-benefit analysis to accurately estimate the financial implications of implementing the smart utility tracking systems. This analysis should include not only the upfront investment costs but also the potential long-term savings and benefits associated with the initiative. Flatthall should also explore financing options to mitigate the financial burden of the initial investment.

Student acceptance and engagement

Ensuring student acceptance and engagement with the user-pay model requires effective communication and education about the benefits of the new system. Flatthall should proactively engage with students through informational sessions, surveys, and feedback mechanisms to address any concerns or misconceptions about the user-pay model. Providing incentives or rewards for responsible resource consumption could also encourage student participation and buy-in.

A cap could also be set on utility costs so that students can be assured they won't be charged above a maximum amount. Usage history on the app would also let students know how much they are spending in real-time, and students should be able to set notifications for their own spend limits. This will help students budget and reduce stress about using things like electricity, showers and heating.

Ultimately, if the user-pay model is unlikely to be received positively by students, we should reconsider whether the proposal should go ahead, given the potential risk to our ongoing competitiveness in the market.

Operational challenges

To mitigate operational challenges, we should invest in staff training and development to ensure that employees have the necessary skills and expertise to manage and maintain the smart utility tracking systems effectively. This includes providing ongoing training and support to address any technical issues or operational challenges that may arise.

Implementing robust monitoring and maintenance procedures can help identify and resolve issues proactively, minimising disruptions to services and damage to student satisfaction. Additionally, setting up clear ways to handle and escalate issues and channels for communication can help with solving issues quickly, ensuring a smooth living experience for students.

Sub-task (b) - 50%: Project planning and performance

3bi - Project planning

In your email, you mentioned it is being considered whether to include representatives from each of the departments in the initial planning stage of the project. The initial planning stage of a project involves setting its purpose, forming a team and outlining objectives. Project details are clarified, potential problems are identified, and different approaches are evaluated to make decisions about project direction. This leads to plans being developed to guide the project's execution.

Here, I will discuss the benefits and drawbacks of involving representatives from each of the departments in the project planning process.

Benefit - Diverse perspectives

First of all, involving representatives from each department ensures a comprehensive understanding of the project's implications across different areas of Flatthall's operations. For example, involving the Property Portfolio Director, Taisha Abbott, could provide insights into legal and construction aspects, while involving the Customer Service Director, Hamid Abbasi, could offer valuable input on customer relations and maintenance requirements.

Benefit - Comprehensive planning

When departments collaborate, they can bring their unique perspectives and expertise to the table, creating a more comprehensive and effective approach to project planning. By working together, these departments can ensure that the implementation of smart utility

tracking technologies and the transition to a user-pay model both align with Flatthall's goals and objectives. They can identify potential challenges, such as logistical issues with installing smart meters or concerns about user acceptance of the new model, and develop solutions that consider the broader impact on Flatthall's operations and customer satisfaction.

Benefit - Enhanced decision-making

By collaborating closely, department representatives can ensure that decisions made as part of the project planning process are well-informed and balanced. They consider factors such as operational feasibility, customer experience, and financial implications, ensuring that the proposed changes align with Flatthall's overarching goals and objectives. Each department brings its unique expertise and perspective, allowing for a comprehensive understanding of the project's implications across the organisation.

Drawback - Time and resources

However, involving representatives from multiple departments in project planning entails various time and resource considerations. Coordinating meetings and gathering input from different departments may require additional time and effort, potentially extending the duration of the planning phase. Additionally, addressing conflicting priorities and reaching a consensus on key decisions may prolong the planning phase and potentially delay the project timeline.

For example, the IT Director may advocate allocating more resources to enhance the security of the FlatKey app to accommodate the integration of new features. In contrast, the Customer Service Director may prioritise allocating resources towards developing a comprehensive communication plan to educate students about the transition to the user-pay model. Resolving these conflicting priorities and deciding on the optimal allocation of resources may require additional time and effort during the planning phase, potentially leading to delays in project execution.

Drawback - Complexity and communication challenges

The involvement of representatives from multiple departments in project planning introduces a layer of complexity to decision-making and communication within Flatthall. Each department brings its distinct priorities and communication styles to the table, and managing these diverse viewpoints and ensuring effective communication among departments will require careful navigation. Finding common ground and agreeing on priorities might be challenging when everyone has different perspectives.

If the involvement of the different departments is not well-managed and there isn't effective communication between parties, it could potentially lead to conflict and misunderstandings. In addition, there's a risk that the overall project objectives could become lost amidst differing departmental priorities.

3bii - Performance evaluation

Non-financial performance indicators

Non-financial performance indicators (NFPIs) are metrics used to evaluate aspects of an organisation's operations, success or impact that are not directly tied to financial outcomes. These indicators provide valuable insights into various aspects of an organisation's performance beyond just monetary gains or losses.

NFPIs typically provide a forward-looking perspective, offering insights into future performance, unlike financial indicators, which primarily reflect past performance. As such, they can offer valuable insights into long-term performance trends, contrasting with financial indicators that often focus on short-term outcomes.

Environmental impact

The proposal to introduce smart utility tracking and a user-pay model at Flatthall properties aims to tackle high energy wastage in student accommodation by promoting responsible consumption habits and fostering a culture of sustainability. While financial metrics are important for assessing the initiative's viability, solely relying on them would overlook its broader environmental benefits. Evaluating the success of the proposal should also consider its impact on sustainability, including reductions in carbon emissions and water usage.

In today's business landscape, sustainability and eco-friendly initiatives hold ever-growing significance, with consumers showing a strong preference for companies that demonstrate a commitment to sustainability. By proactively measuring and addressing its environmental impact, Flatthall has the opportunity to bolster its brand reputation and appeal to a wider audience of environmentally conscious students.

This aligns with industry trends, as evidenced by competitors like Unite Students, a leading provider of purpose-built student accommodations in the UK, which has committed to achieving net-zero carbon status in its building projects by 2030.

Student satisfaction

The user-pay model and implementation of smart utility tracking within Flatthall properties represent a shift towards encouraging students to take ownership of their

resource usage. By tracking factors like student satisfaction, for example, through surveys, we can gain a comprehensive understanding of the initiative's influence.

The importance of student satisfaction cannot be overstated for Flatthall's ongoing success in the market. As stated in our business model, students are willing to pay realistic rents for accommodation in Flatthall properties because of the comfort, well-proportioned rooms, and ample facilities provided to support their academic and social activities. This highlights the crucial role of student satisfaction in attracting and retaining tenants, ensuring our competitiveness.

Let me know if you need anything else from me.

Regards,

Financial Manager

Task 4 - Solution

From: Financial Manager

To: Susanna Leong, Senior Financial Manager

Subject: Social networking tools and maintenance delays

Hi Susanna,

The issue

Please see the following report in which I have evaluated the impact of incorporating social networking tools into the FlatthKey app on Flatthall's business model. I have also evaluated the effectiveness of the leadership of the Operations Director and suggested an appropriate leadership style to ensure the situation is resolved effectively.

Sub-task (a) - 40%: Business model

4ai - The impact on Flatthall's business model

Flatthall's business model

At present, Flatthall defines value by providing safe and attractive accommodation for students. Our properties are purpose-built for the student market. Students who rent rooms in Flatthall buildings are able to study in a relaxed environment. We create value by proactively identifying potential locations for new properties where the demand for student accommodation is not being met. We have considerable expertise in the acquisition of suitable sites and in the construction of good-quality buildings.

We deliver value by developing strong relationships that underpin commercial success. We work closely with college and university services to ensure they are willing to recommend Flatthall to students in need of accommodation. A large proportion of Flatthall's residents return in subsequent years of study and recommend us to friends and siblings.

Finally, we are able to capture value as students are prepared to pay realistic rents for accommodation in Flatthall properties because their rooms are well-proportioned and comfortable, and they are provided with all the facilities they require to support their studies and social activities.

The impact of the proposal on Flatthall's business model

Incorporating social networking tools into the FlattKey app can have a significant impact on Flatthall's business model.

Enhancing community

Integrating social networking tools into the FlattKey app aligns with our business model by further enriching the student living experience beyond the physical accommodation. It creates an online space where students can connect, collaborate and chat, which strengthens our commitment to providing a supportive community for residents.

By building this sense of belonging through digital platforms, we can make our properties more appealing to students who want more than just a place to stay. This focus on fostering community through technology could give us an edge in the competitive student housing market.

Improving customer relationships

Incorporating social networking tools into the FlattKey app strengthens our ability to develop and maintain strong relationships with our residents, aligning with our business model. By providing students with direct channels for communication and support, it demonstrates that we are committed to meeting our students' needs and providing a supportive and social living experience.

This could help us retain students for subsequent years and increase positive word-of-mouth referrals, further solidifying our reputation as a preferred accommodation provider among students and university services.

Market adaptability

Embracing social networking tools showcases Flatthall's ability to adapt to changing market trends and student preferences. With the increasing reliance on digital platforms for communication and community engagement, students are seeking accommodation options that offer more than just physical living spaces.

By integrating features like event calendars and peer-to-peer support networks into the FlattKey app, we will align the company with the digital-centric lifestyles of modern students. This proactive approach not only enhances the appeal of Flatthall's properties but also positions the company as a forward-thinking and adaptable player in the competitive student housing market.

Conclusion

Overall, incorporating social networking tools into the FlattKey app has the potential to enrich our value proposition, strengthen customer relationships, and align with Flatthall's strategic focus on providing comfortable and supportive student living environments. However, careful consideration should be given to privacy and security concerns, as well as the resources required for implementing and maintaining these features effectively.

Sub-task (b) - 60%: Leadership

4bi - Effectiveness of the Operations Director's leadership

The effectiveness of the leadership demonstrated by Dai Linlin, Operations Director, can be evaluated based on several key factors highlighted in the Board minutes.

Readiness for delegation

It was noted in the Board minutes that the Operations Director had delegated the responsibilities of managing maintenance requests and oversight of the independent contractors who undertake repair and maintenance to mid-level managers at Flatthall's Head Office.

On the one hand, the Operations Director's approach to delegating responsibilities to mid-level managers indicates a proactive effort to manage maintenance requests efficiently. By empowering these managers, the Operations Director demonstrates a decentralised management style, which can promote agility and responsiveness in addressing operational challenges.

On the other hand, concerns have been raised in the Board minutes regarding the readiness of mid-level managers to take on these responsibilities. Effective delegation involves ensuring that responsibilities are assigned to individuals with the appropriate skills and capabilities. The Operations Director should have conducted a thorough assessment of the readiness and competence of mid-level managers before delegating these maintenance oversight responsibilities.

Lack of additional training or resources

The lack of additional training or resources also suggests potential shortcomings in the Operations Director's leadership. Effective delegation requires ensuring that individuals entrusted with new responsibilities are adequately equipped with the necessary skills and

support to fulfil their roles effectively. The absence of any mention of training or resource allocation also raises questions about the Operations Director's oversight in this aspect.

Lack of communication channels

Furthermore, the absence of established communication channels for mid-level managers to escalate issues or seek guidance highlights a potential gap in organisational communication and coordination. Effective leadership involves establishing clear channels for communication and support, especially in decentralised structures where decision-making authority is distributed across multiple levels. The lack of such channels may have contributed to delays and inconsistencies in handling the issues raised, ultimately impacting student satisfaction and perception of Flatthall's management.

Abdication of responsibility

Finally, delegation should not be seen as passing off responsibilities; instead, these responsibilities remain part of the Operations Director's duties. As such, the Operations Director should implement a system for ongoing monitoring and support for the managers to ensure the effectiveness of the delegation. Regular check-ins and feedback sessions should be utilised to track the progress of mid-level managers and address any issues or challenges they are encountering in managing maintenance requests.

Furthermore, when issues started to be raised by students regarding delayed responses to maintenance requests, the Operations Director should have taken swift action to investigate and address the root causes of these problems. This may have involved conducting a thorough review of the maintenance process, identifying bottlenecks or inefficiencies and implementing corrective measures.

4bii - Leadership style

When evaluating leadership styles to address issues within an organisation, it's crucial to consider the context and the timeframe in which decisions need to be made. In the short term, particularly when facing urgent challenges or immediate concerns, a more directive approach may be necessary to ensure swift action and resolution. However, in the long term, cultivating a collaborative and inclusive leadership style can foster sustainable solutions and promote employee engagement and development. Therefore, a nuanced approach that balances immediate needs with long-term goals is essential for effective leadership.

With this in mind, let's explore suitable leadership styles for both short-term crisis management and long-term strategic planning in the context of addressing the operational challenges faced by Flatthall.

Short-term - authoritative

An authoritative leadership approach is characterised by a leader who takes charge, makes decisions independently and directs others with clear instructions. Authority is centralised within the leader, and there is limited input from subordinates in the decision-making process.

In the context of the situation at Flatthall, where there has been an uptick in complaints about delayed responses to maintenance requests following the implementation of the FlattKey app, an authoritative leadership style is crucial in the short term to address the immediate challenges and alleviate student dissatisfaction. With the delays in maintenance issues being resolved impacting the overall experience of students, urgent action is required to rectify the situation and restore confidence in Flatthall's management.

By taking control of the situation and enforcing necessary changes, the Operations Director can ensure that maintenance issues are being resolved, resources are allocated efficiently, and communication channels are established for swift resolution of issues.

Mid- to long-term - consultative

Once the issues with maintenance delays have been resolved and operations are running smoothly again, it will become important to transition to a more collaborative leadership style, like consultative and participative. While an authoritative approach may be necessary to address immediate concerns and ensure prompt action, it can be perceived as controlling and less receptive to feedback by team members when used as the primary leadership approach.

Transitioning from an authoritative to a consultative leadership style allows for a more inclusive decision-making process. Consultative leadership involves asking for suggestions from subordinates but ultimately making the final decision. This approach could be useful in addressing concerns about mid-level managers' preparedness for their new responsibilities.

By seeking input from the managers on their training needs and resources required for managing independent contractors, the Operations Director can incorporate their views into the decision-making process while still retaining control over the final decisions. This ensures that the decisions made take into account the expertise and perspectives of those directly involved. Moreover, involving the managers in the decision-making process fosters a sense of ownership and commitment.

Long-term - participative

As the managers become more familiar with their roles and responsibilities, transitioning to a participative leadership style can further empower them to take ownership. A participative leadership style means involving the staff in decisions and giving them the flexibility to make their own decisions with the manager's support and advice. While this is generally a slower process of decision-making, it provides the most motivation. It can help staff as they are fully involved in decisions and can learn from their own experience.

It is appropriate where staff are interested, skilled and knowledgeable, and there can be flexibility in the approach taken. In our case, the mid-level managers are likely to be interested, given they are in a managerial position, and once they have had some additional training and support, they are likely to be skilled and knowledgeable, too. By giving them the flexibility to make decisions within their scope of authority, the Operations Director can further develop their skills, increase motivation and foster a sense of ownership and accountability.

I hope you find this useful. Let me know if you need anything else.

Regards,

Financial Manager

Marking Matrix

Task	Topic	Core activity	%	Marks	Total
1a	Stakeholder management	E	60	15	25
1b	Project management	B	40	10	
2a	Risk management	D	50	12	25
2b	Leveraging data	A	50	13	
3a	Risk and uncertainty	D	50	13	25
3b	Project planning and performance evaluation	B	50	12	
4a	Impact on business model	A	40	10	25
4b	Leadership styles	C	60	15	
					100

Marking guidance

Task 1		
(a)	E. Manage internal and external stakeholders	60%
(b)	B. Implement senior management decisions	40%

E. Manage internal and external stakeholders (15 marks)		60%
1ai - Analyse the potential impact on stakeholders		7 marks
	No rewardable material	0
Level 1	Some analysis of the impact on stakeholders, but few are analysed and/or the answer lacks application or accuracy.	1-2
Level 2	Analysis of the impact on some key stakeholders with some application.	3-4
Level 3	Analysis of the impact on a range of key stakeholders with full application.	5-7
1aii - Discuss how we should effectively communicate with stakeholders		8 marks
	No rewardable material	0

Level 1	Some discussion of effective communication, but answer lacks application and/or accuracy.	1-3
Level 2	Some discussion of effective communication with some application to the stakeholders and scenario.	4-6
Level 3	Full discussion of effective communication with application to the stakeholders and scenario.	7-8

B. Implement senior management decisions (10 marks)		40%
1bi - Discuss how the project to develop and implement the FlattKey app should be organised and managed.		10 marks
	No rewardable material	0
Level 1	Some discussion of project organisation and management, but answer has little application to the pre-seen and unseen.	1-3
Level 2	Some discussion of project organisation and management with some application to the pre-seen and unseen.	4-7
Level 3	Full discussion of project organisation and management with application to the pre-seen and unseen.	8-10

Task 2		
(a)	D. Measure performance	50%
(b)	A. Evaluate opportunities to add value	50%

D. Measure performance (12 marks)		50%
2ai - Suggest measures to ensure the ongoing reliability and security of the FlattKey app and its associated data.		12 marks
	No rewardable material	0
Level 1	Some discussion of risk management measures but with little application to the pre-seen or unseen.	1-4
Level 2	Some discussion of risk management measures with some application to the pre-seen and unseen.	5-8
Level 3	Full discussion of risk management measures with application to the pre-seen and unseen.	9-12

A. Evaluate opportunities to add value (13 marks)		50%
2bi - Advise on how the collected data could be leveraged to inform budgeting		6 marks

	No rewardable material	0
Level 1	Some discussion of how data can be leveraged to inform budgeting but with little application to the pre-seen or unseen.	1-2
Level 2	Some discussion of how data can be leveraged to inform budgeting, with some application to the pre-seen and unseen.	3-4
Level 3	Full discussion of how data can be leveraged to inform budgeting, with application to the pre-seen and unseen.	5-6
2bii - Advise on how the collected data could be leveraged to inform investment decisions.		7 marks
	No rewardable material	0
Level 1	Some discussion of how data can be leveraged to inform investment decisions but with little application to the pre-seen or unseen.	1-3
Level 2	Some discussion of how data can be leveraged to inform investment decisions, with some application to the pre-seen and unseen.	4-5
Level 3	Full discussion of how data can be leveraged to inform investment decisions, with application to the pre-seen and unseen.	6-7

Task 3		
(a)	D. Measure performance	50%
(b)	B. Implement senior management decisions	50%

D. Measure performance (12 marks)		50%
3ai - Identify the key risks and uncertainties associated with introducing a user-pay model for utilities		7 marks
	No rewardable material	0
Level 1	Some discussion of risk and uncertainty but with little application to the pre-seen or unseen.	1-2
Level 2	Discussion of some key risks and uncertainties with some application to the pre-seen and unseen.	3-4
Level 3	Full discussion of the key risks and uncertainties with application to the pre-seen and unseen.	5-7
3aii - Suggest ways to mitigate the risks associated with introducing a user-pay model for utilities		6 marks
	No rewardable material	0

Level 1	Some discussion of risk mitigation but with little application to the pre-seen or unseen.	1-2
Level 2	Some suggestions of ways to mitigate the risks with some application to the pre-seen and unseen.	3-4
Level 3	A range of suggestions of ways to mitigate the risks with application to the pre-seen and unseen.	5-6

B. Implement senior management decisions (13 marks)		50%
3bi - Discuss the benefits and drawbacks of involving representatives from each of the departments in the initial planning of the project		6 marks
	No rewardable material	0
Level 1	Some discussion of the benefits and/or drawbacks, but lacks application to the pre-seen or unseen.	1-2
Level 2	Some discussion of the benefits and/or drawbacks with some application to the pre-seen or unseen.	3-4
Level 3	Full discussion of the benefits and/or drawbacks with application to the pre-seen or unseen.	5-6
3bii - Discuss the importance of considering non-financial factors in assessing the success of this initiative.		6 marks
	No rewardable material	0

Level 1	Some discussion of non-financial factors, but lacks application to the pre-seen or unseen.	1-2
Level 2	Some discussion of the importance of considering non-financial factors with some application to the pre-seen or unseen.	3-4
Level 3	Full discussion of the importance of considering non-financial factors with application to the pre-seen or unseen.	5-6

Task 4		
(a)	A. Evaluate opportunities to add value	40%
(b)	C. Manage performance and costs to aid value creation	60%

A. Evaluate opportunities to add value (10 marks)		40%
4ai - Evaluate the impact of incorporating social networking tools into the FlattKey app on Flatthall's business model.		10 marks
	No rewardable material	0
Level 1	Some discussion of the business model but with little application to the pre-seen or unseen.	1-3
Level 2	Some evaluation of the impact on the business model with some application to the pre-seen and unseen.	4-7
Level 3	Full evaluation of the impact on the business model with application to the pre-seen and unseen.	8-10

C. Manage performance and costs to aid value creation (15 marks)		60%
4bi - Evaluate the effectiveness of the leadership of the Operations Director		7 marks

	No rewardable material	0
Level 1	Some discussion of effective or ineffective leadership, but lacks application to the pre-seen or unseen.	1-2
Level 2	Some evaluation of the effectiveness of the leadership of the Operations Director, with some application to the pre-seen and unseen.	3-4
Level 3	Full evaluation of the effectiveness of the leadership of the Operations Director, with application to the pre-seen and unseen.	5-7
4bii - Suggest an appropriate leadership style to ensure the situation is resolved effectively.		8 marks
	No rewardable material	0
Level 1	Some discussion of appropriate leadership styles, but lacks application to the pre-seen or unseen.	1-3
Level 2	Some discussion of an appropriate leadership style with some application to the pre-seen or unseen.	4-6
Level 3	Full discussion of an appropriate leadership style with application to the pre-seen or unseen.	7-8